



SUSTAINABILITY
REPORT
2019



SUSTAINABILITY

AT ATLAS ARTERIA, WE FOCUS ON CREATING LONG-TERM VALUE FOR OUR STAKEHOLDERS, FROM INVESTORS AND CUSTOMERS TO EMPLOYEES AND COMMUNITIES. AS AN INTEGRAL PART OF THIS, WE EMBED RESPONSIBLE AND SUSTAINABLE BUSINESS PRACTICES.

Our Sustainability Framework

SUSTAINABILITY PRIORITIES



SAFETY

Whether working or travelling with us, safety is our primary focus.



CUSTOMERS AND COMMUNITY

We connect people and communities through safer and faster transport options that make life easier.



OUR PEOPLE

We foster an engaged, collaborative and diverse workforce, and together deliver business success.



ENVIRONMENTAL STEWARDSHIP

We actively manage our impact on the environment and provide solutions that enable customers to minimise their footprint.

BUSINESS FUNDAMENTALS

GOVERNANCE

We are accountable and transparent in all our business dealings.

ETHICS, VALUES AND CULTURE

We act ethically and promote a culture founded on our five values: Safety, Transparency, Engagement, Environment, Respect.

SUSTAINABLE GROWTH

We focus on growing our business and returns for the long term while delivering positive social benefit.

INNOVATION AND TECHNOLOGY

We monitor innovations and technology and proactively respond to changing needs and expectations.

Implemented through policies and programs. Will be monitored through KPIs and targets.

Our approach to sustainability

The global understanding of sustainability and the growing challenges around sustainability are changing at an unprecedented rate. Disruptive forces such as the threat of climate change are reshaping every industry. At the same time, we recognise that there are rising stakeholder expectations for businesses to play a positive role, reduce negative impacts and create value for society.

As a global infrastructure developer, owner and operator, we manage our business for the long term. Understanding how sustainability challenges may impact our operations and portfolio is important in order for us to build a resilient strategy. It also means understanding the changing needs and expectations of our stakeholders, to stay responsive and relevant to these.

With the new management team in place, this year we undertook an assessment to understand the issues important to our stakeholders (see 'Determining materiality' section below for more information). As a result, we have developed a new Sustainability Framework to focus and guide our efforts in order to create lasting value and sustainable returns for our investors.

Our Sustainability Framework has been refocused into four priority areas that inform our strategy and approach: safety; customers and community; our people; and the environment. These represent the most significant environmental, social and governance (ESG) risks and opportunities now facing our business, as well as the topics of greatest importance to our stakeholders. Focusing on these priority areas supports us in securing a growing and resilient business.

The priorities are underpinned by a set of four business fundamentals that enable us to fulfil our future growth potential. These are: good governance; an ethical culture; an emphasis on sustainable growth; and keeping abreast of technology and other innovations.

We expand upon each of our sustainability priority areas in this report, identifying issues faced, our actions to address them and our commitments into the future. We will continually look for opportunities to improve, as we move forward.

Determining materiality

Stakeholder views formed an important part of the development of our Sustainability Framework. We appointed an independent, external advisor to undertake a materiality assessment, identifying the sustainability issues facing our business that are most important to our stakeholders. They spoke directly with investors, business partners, suppliers and employees through a series of surveys, interviews and roundtables.

An ESG workshop was held for the Atlas Arteria Boards and senior leadership team to review the insights gained and identify those areas imperative to sustainable business success. From this, our Sustainability Framework was established.

We have clear structures in place for the management and oversight of sustainability. Our governance approach and supporting policies drive integration through the business, and clear dialogue with stakeholders enables us to understand and address changing expectations.

Sustainability governance

Sustainability at Atlas Arteria is overseen by our Boards. Our Sustainability Framework has been recently defined and we are developing a set of KPIs and targets to underpin the framework and help focus our actions. Performance is regularly monitored by the senior leadership team.

Each of our portfolio businesses is responsible for adopting and maintaining its own environmental and social risk management framework appropriate to the country in which it operates.

Our ability to control or influence the ongoing management of these issues differs for each business.

At APRR (including ADELAC), Atlas Arteria has a non-controlling interest and accordingly we appoint Board representatives to promote and support the implementation of good practices, to the extent that they are able to, under the co-ownership arrangements.

For Dulles Greenway and Warnow Tunnel, where Atlas Arteria holds a 100% economic interest, we work with the management of the companies to ensure that policies and procedures are in line with our standards and expectations.

The ESG performance of each business is reported to the Atlas Arteria Boards regularly. Major safety incidents are reportable as soon as possible after occurrence, and other major environmental and social incidents are reportable within 48 hours.

New investments

Atlas Arteria aims to invest in businesses that regard environmental and social issues as a high priority, or in businesses where there is capability to create a strong environmental and social focus.

Accordingly, all potential investments are screened for environmental and social risks, including safety and climate change, before presentation to the Atlas Arteria Boards for consideration.

Sustainability policies

With the establishment of the new management team, we have developed a suite of corporate policies that set out our expectations for responsible business. Our ESG risks are managed through our risk management framework, with supporting policies covering: anti-bribery and corruption, risk management, workplace health and safety, environmental and social responsibility, diversity and employee conduct.

These policies are available on the Atlas Arteria website at <https://www.atlasarteria.com/sustainability/framework-policies-stakeholders?scroll=policy>.

We have trained both the head office team and management at our wholly-owned businesses on the policies and copies are available to all staff.

Stakeholder engagement

We are open and transparent about how we do business. Clear dialogue with our stakeholders is important to building strong relationships, maintaining trust and enhancing our business performance for the long term.

Our key stakeholders include our co-investors, portfolio company employees, governments and regulators, suppliers, securityholders and the wider communities in which we operate.

OUR SUSTAINABILITY PRIORITIES



Safety on our motorway networks is our top priority. We seek to ensure that all people who work for us and use our roads return home safely.

Key statistics/achievements

- 11.5% reduction in APRR's lost time injury frequency rate compared to 2018
- Virtual reality experiences at service areas on the APRR network promote customer safety awareness
- No customer injuries at Warnow Tunnel in 2019
- 81% of our people believe we live our safety commitments (source: Employee Engagement Survey for corporate employees)

Number of lost time injuries

	2016	2017	2018	2019
Head office	NA	NA	NA	0
APRR	23	29	26	23
Warnow	0	0	0	1
Dulles Greenway	0	1	0	0

Lost time injury frequency rate

	2016	2017	2018	2019
Head office	NA	NA	NA	0
APRR	4.2	5.7	5.2	4.6
Warnow	0	0	0	14.9
Dulles Greenway	0	11.3	0	0

Safety of our people

The safety of our people and contractors is a top, and enduring priority for us. We focus on a safety first culture while having the right equipment and the right training to do the job.

We are standardising reporting across our businesses. Alongside lost time injury reporting, we are introducing near-miss reporting to help identify and mitigate risks. Safety progress and performance is reviewed regularly by the Boards.

Motorway employees undertake regular safety training. This has included topics such as: implementation of traffic closures, training for use of equipment/vehicles and occupational safety training. At Warnow Tunnel alone, employees have undertaken an average of nine hours' safety training each over the course of the year.

In France, SafeStart training has been run for APRR employees since 2016, offering practical tips to keep workers alert to risks and reduce injuries resulting from human error.

APRR also introduced safety software, NumA (Numérique Autoroute or Digital Motorway) Prévention in 2019. Functioning across platforms (mobile, tablet or PC), the software can be used to better inform employees of safety hazards and accidents on motorways. Furthermore, it facilitates collaboration for safety briefings and inspections.

We pursue opportunities to share learnings. Over 2019, Dulles Greenway held 504 combined safety meetings with contractors, reviewing performance, risks and mitigating activities.

APRR hosted a Safety Break day in September 2019 for all employees, facilitating discussions between employees, management, and brainstorming on future safety initiatives.

Worker safety



APRR is currently working on increasing worker safety through technology. It is trialling work boots that vibrate when the employee comes close to dangerous areas, large equipment, or when divider cones are hit by traffic. An alarm is also sent to operational headquarters alerting them to the danger. The focus of this technology is to increase the safety of workers next to live traffic or in construction zones.

Promoting safety awareness amongst customers



In the summer of 2019, APRR introduced a virtual reality experience at a selected service area on the A6. Aimed at improving road user safety and awareness, the system simulated a vehicle breakdown, highlighting the necessary actions to reduce risks when stopping in the emergency lane on a motorway. It also educated drivers on the risks faced by motorway staff when responding to incidents.

In addition, APRR periodically hosts events raising awareness around the most common causes of accidents and injuries. This includes driver fatigue, incorrectly inflated tyres, speeding and not wearing a seatbelt.

Fatalities

With sadness, we report that a contractor died working on an APRR motorway widening project in France during the year. The worker was employed by a sub-contractor, and as such was under the control and responsibility of that business. However, we take any incident on our roads very seriously and were proactive in working to understand the root cause and identify learnings to help reduce the potential for similar events occurring. These details are shared in safety briefings across our businesses and with our contractors. Through procurement processes and contractual provisions, we seek to ensure that our contractors have a safe system of work.

Road user safety

We work hard to ensure the safety of our roads, with immediate response to dangerous incidents, regular cleaning and maintenance sweeps, maintaining black roads in winter and ensuring safe traffic lane closures.

Between 2014 and 2018, Dulles Greenway experienced less than one tenth the rate of injury occurring on other Virginia and Loudoun County roads* and in 2019, the accident rate continues to reduce.

To ensure that we maintain strong oversight of accidents on our roads, we are introducing reporting on customer accident and injury rates. This will assist in clearly tracking incidents and support management improvement.

The management of each business regularly reviews potential risks, accident causes and locations to identify any areas of improvement.

Priorities for 2020

- Continue to embed a safety first culture amongst our people and across our businesses
- Proactively share safety best practices between our businesses
- Implement further initiatives to minimise dangerous driver behaviour on our roads
- Continue standardisation of safety reporting, including near-miss reporting, across our businesses
- Implement specialised operational software as appropriate

* On average there were 7.2 accidents with injuries per 100 million vehicle miles travelled (VMT) on the Greenway between 2014 and 2018, compared with 80 accidents with injuries per 100 million VMT on Loudoun County Roads (WSP 2019). In 2019 the accident rate for Dulles Greenway was 4.4 accidents with injuries per 100 million VMT.

Diversity and inclusion

We recognise diversity as a driver of success: strengthening the business with different perspectives and experiences and supporting the attraction and retention of talent. Our Diversity and Inclusion Policy (on our website) sets out our approach and commitments in this regard.

Our Boards each comprise 40% female members. We are seeking to increase female representation across the organisation and are developing initiatives to support this.

Besides gender, our small head office team is highly diverse in nationality, language and culture.

The recent engagement and culture survey also showed strong results on questions relating to diversity and inclusion.

Looking ahead, diversity and inclusion remains a focus as we grow our team. We will continue to implement practices to support diversity.

Supporting diversity



At APRR, the promotion of equal opportunities is wide-ranging. Training schemes and apprenticeships are offered to help young people into the job market. An action plan is in place to better enable integration of people with disabilities, support is provided to retain seniors in employment and a focus on gender equality differences in pay for men and women with equivalent skill levels and jobs.

Actions are supported by the APRR Diversity Committee, which brings together representatives from all levels of the business. This year, an employee barometer was undertaken, in which 84% of APRR employees said they felt management was committed to equal opportunity. Other initiatives included training on prejudices and stereotypes, and work towards renewal of the Diversity Label from Association Française de Normalisation (AFNOR) was successfully achieved in February 2020.

Human rights and modern slavery

Respecting human rights and eliminating modern slavery is crucial to being a responsible business. We are committed to developing and maintaining processes to identify, prevent, mitigate and account for adverse human rights impacts, including modern slavery, throughout our operations and value chain.

We have undertaken a review of our exposure to human rights and modern slavery risks in our operations and supply chains and have implemented a number of initiatives to help identify and manage these risks in the future. These include:

- providing an anonymous Whistleblower Service as a means to report concerns of wrongdoing available at www.atlasarteriaspeakup.deloitte.com.au;
- supplier risk assessment/reviews and auditing procedures;
- the inclusion of contract clauses which address modern slavery and human rights concerns in our supplier contracts;
- the inclusion of modern slavery and human rights considerations into our investment due diligence processes;
- integrated modern slavery and human rights issues into our annual compliance training sessions, delivered both to head office employees and our portfolio organisations.

We will release a Modern Slavery Statement which outlines the risks identified in this review and how they are being addressed in 2021 in accordance with the Modern Slavery Act, 2018.

Priorities for 2020

- Continue to support the health and wellbeing of our people through the COVID-19 pandemic
- Maintain strong employee engagement levels
- Partner with recruiters to improve candidate diversity
- Roll out unconscious bias training to all managers
- Pursue and maintain a gender balance on our Boards, within senior management and across all employees of at least 40% of each gender
- Implement measures to improve the effectiveness and efficiency of communications between employees and our businesses

Corporate team	Male	Female	% Male	% Female
Board (Australian)	3	2	60%	40%
Board (Bermudian)	3	2	60%	40%
Executive team	3	1	75%	25%
Other employees	12	12	50%	50%
All employees	15	13	54%	46%

Portfolio organisations	APRR	Dulles Greenway	Warnow Tunnel
Male	2,026	10	12
Female	1,257	3	24
Total	3,283	13	36
% Male	62%	77%	33%
% Female	38%	23%	67%

OUR SUSTAINABILITY PRIORITIES



ENVIRONMENTAL STEWARDSHIP

Management of natural resources is a commercial and social imperative, as well as an environmental one. Efficient use of resources reduces costs; enabling nature corridors supports the health of our ecosystems; and responsible management can help us to more effectively engage our people, customers and communities.

Key statistics/ achievements

- APRR GHG emission reduction of 1.4%*
- 20% of electricity used in APRR is from renewable sources
- Electric charging stations every 80 kilometres along APRR's 2,318 kilometre network
- APRR group ISO14001 certified for motorway operation activity

*based on Scope 1 and 2 emissions, not including customer traffic emissions.

A motorway's primary areas of environmental impact lie in road construction activities, in running and maintaining the road, and in customers' use of the road.

At Atlas Arteria, we aim to effectively manage and minimise associated impacts, with a particular focus on reducing greenhouse gas emissions and protecting the natural environment.

Greenhouse gas emissions

Each of our portfolio roads proactively works on reducing its energy use and therefore its associated carbon footprint. For APRR specifically, management of GHG emission forms a key part of its ESG strategy, alongside a focus on safety.

Initiatives include: the installation of solar panels on 23 buildings and structures at service stations to power operating equipment; solar hot water production present at 35 service areas; LED lighting widely deployed in motorway tunnels to reduce energy consumption; recycling of pavement materials; and reduced own-emissions through action on business travel, building use and server consumption.

APRR has analysed its energy use and GHG emissions since 2011 and this year saw a reduction of 1.4% across its Scope 1 and 2 emissions.

GHG emissions, tonnes CO₂e (APRR only)*

	2016	2017	2018	2019
Scope 1	6,182	6,541	5,942	6,027
Scope 2	1,291	1,244	957	773
Scope 3**	1,913,208	2,135,936	2,212,963	2,230,582

* GHG emissions are calculated based on the GHG Protocol's equity share approach. Atlas Arteria holds a 31.14% interest in APRR. In accordance with this, data represents 31.14% of APRR's calculated GHG emissions.

**Scope 3 data presented here is limited to customer traffic emissions. Scope 1 and 2 emissions are therefore more reflective of APRR's own GHG emissions.

At Warnow Tunnel, the toll plaza was completely refurbished with LED lights in 2019. This has contributed to a 3.8% reduction in energy use across the Warnow Tunnel business compared to 2018 (797,077 kWh in 2019 compared to 828,792kWh in 2018).

Customer emissions

As a road operator, one of the biggest impact areas lies in the carbon footprint associated with customers' use of our roads.

As climate change continues to grow on the global agenda, customers will increasingly make changes to living habits to minimise their own footprint. Our ability to enable customers to reduce their footprint is therefore a priority for us.

Compared to standard roads, the nature of motorways generally offers improved efficiencies: allowing for faster and more consistent driving speeds, reduced traffic congestion and improved travel time. These efficiencies should translate to reduced fuel consumption and emissions.

In addition, we continue to seek options that proactively facilitate a reduced customer footprint. For example, electric charging stations are provided every 80 kilometres along APRR's 2,318 kilometre network, enabling customers to transition to electric vehicles. An additional 16 very high power charging stations were added this year, providing further improvements to charge times (see case study on page 5). Carpooling is also encouraged, with 4,135 carparks now installed alongside APRR's network in support of this.

We keep abreast of new technology to ensure that we can provide a timely response to developing needs, for example in being prepared to support autonomous vehicles on our road networks.

Protecting the natural environment

Our impact on the natural environment is an important consideration as we assess both the day-to-day operations of our businesses and construction projects.

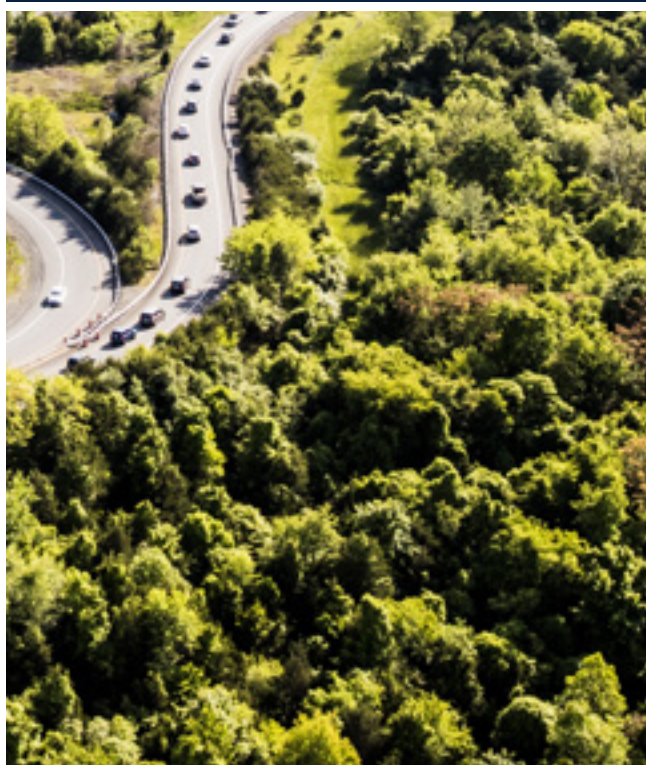
The flow of roads can interrupt wildlife crossings, disrupt habitats and carry pollutants into waterways.

Initiatives were implemented in the original design and construction of the roads to minimise and offset adverse impacts.

Environmentally focused initiatives include:

- 10,500 hectares of green space maintained adjacent to APRR motorways;
- 175 wildlife crossings throughout the APRR network;
- support for a park area and educational nature trail An der Hundsburg, located beside Warnow Tunnel;
- 149 acres of wetlands established around Dulles Greenway, offsetting wetlands affected in the road's construction.

Supporting conservation



Dulles Greenway has a strong partnership with Loudoun County Wildlife Conservancy and has supported the group since 2005 through its annual Drive for Charity Day.

To date, Loudoun Wildlife has received US\$535,561 from the annual fundraiser, with US\$42,000 donated in 2019. The funds support habitat restoration projects, wildlife monitoring programs, educational activities and field trips.

Restoration and protection



In construction works, APRR follows the hierarchy of 'avoid, reduce, compensate' for impacts on the environment.

For example, on the Sévenans interchange on the A36, environmental compensatory measures included restoration of 2.6 hectares of wetlands, woodland plantation, grassland management for protection of the large copper butterfly and conservation of 3.6 hectares of forest allowing for natural regeneration. Ecological monitoring of these habitats will continue until 2035.

On an A41 widening, five new water retention basins capturing runoff from the motorway are planned for completion in 2021. These will prevent risk of flooding, clean up water from roads and contain pollutants in the event of spills, preventing them from entering the natural environment.

In day-to-day operation, surrounding waterways may be impacted through spillages on roads, or through pollutants carried in runoff. Basins, dikes and vegetative barriers are used to minimise the potential threat to surrounding environments.

As part of runoff considerations, we are conscious of the use of chemicals and salt in maintaining black roads in winter and managing grasses and other vegetation on the verge. APRR has a strict management framework for the application of chemicals and salt to minimise impact on the surrounding environment. We look to replicate this for Dulles Greenway.

Climate change adaptation

We are aware of the potential effects of climate change on our assets and integrate risk analysis into our assessment of existing and new investment opportunities.

For example, an increased frequency of significant snow storms or heat waves may influence maintenance requirements, safety considerations and traffic volumes and patterns.

We are committed to ensuring that identified scenarios are assessed and appropriate measures identified to mitigate or manage effects.

Priorities for 2020

- Implement an improved management framework at Dulles Greenway for use of salts and other chemicals in road management
- Further improve waste management, water and electricity consumption for our businesses
- By 2023, construct 19 additional wildlife crossings along APRR as part of the Motorway Investment Plan